

Outlook

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The rate move is affecting products differently

Hi,

This came up in a working session and nobody had the same definition.

The planning team needs to understand which product and customer groups are most exposed when lending and account rates change.

I do not want a dashboard that simply counts the outcome. Start with the competing explanations: variable-rate borrowers show stress before fixed-rate borrowers; fee-sensitive deposit activity changes after repricing; or repayment stress is driven more by cash flow than by nominal rate.

The timing also overlaps with SARB lifts repo rate 25bp in hiking cycle start. Treat that as context to test, not an answer. The operating teams agree that more journeys are failing; they disagree on whether the customer, the bank or a downstream party owns the failure. This has returned because the previous answer was useful but not strong enough to become a standing rule. Use November 2021 as the new evidence point rather than recycling the earlier conclusion.

What we need to decide is where product repricing, customer communication or credit monitoring should be focused. Please bring a working Excel file with the exception population and clear columns, including a few cases we can trace from source to conclusion.

The available evidence is monthly account snapshots, status events, limits, product enrolments and signatories; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; transaction-level timestamps, channels, amounts, statuses and error context; collections cases, promises to pay and recovery payments; customer contacts, complaints and suggestions. This is a behavioural sensitivity study, not IRRBB, economic value of equity or a regulatory interest-rate calculation.

Thank you